

Qualification Programme
Module 2 – Management Accounting
Report on Candidates' Performance
(June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

This paper consisted of 45 multiple-choice questions. Candidates had one hour and forty-five minutes to complete the paper. The questions of this paper related broadly to the following Principal Learning Outcomes:

- (a) Explain the role and purpose of management accounting
- (b) Apply cost accounting
- (c) Apply the principles and techniques for budgeting and forecasting
- (d) Analyse information for performance measurement

The multiple-choice questions in this paper were divided into two broad categories, which were worth 1 to 2 marks each:

- Knowledge-based questions; and
- Application-based questions.

General Comments

The average marks (in percentage) scored by candidates for questions of the topic areas are as follows:

(a) Explain the role and purpose of management accounting	60.2%
(b) Apply cost accounting	52.5%
(c) Apply the principles and techniques for budgeting and forecasting	58.0%
(d) Analyse information for performance measurement	57.6%

The average marks (in percentage) scored by candidates for the two broad categories of questions are as follows:

• Knowledge-based questions	52.7%
• Application-based questions	57.5%

In general, the candidates' performance in this session was satisfactory. Candidates exhibited competence in explaining the role and purpose of management accounting, applying the principles and techniques for budgeting and forecasting, and analysing information for performance measurement. However, their proficiency in applying cost accounting was relatively weaker.

Specific Comments

In this session, candidates demonstrated weakest performance in questions covering the following topics:

- Explain different cost classification: direct and indirect costs; fixed and variable costs; period and product costs; avoidable and unavoidable costs
- Calculate the value of inventory under FIFO, LIFO and weighted average methods
- Calculate and compare the profit or loss under absorption and marginal costing
- Prepare cost records and accounts in job costing situations
- Describe the stages in the budgeting process (including sources of relevant data, planning and agreeing draft budgets and purpose of forecasts and how they link to budgeting)
- Identify and describe different standards; ideal, currently attainable and basic standards

Specifically, candidates encountered difficulties with the specialised topics of explaining different cost classification: fixed costs, calculating the value of inventory under LIFO, preparing cost records and accounts in job costing situations, and describing the stages in the budgeting process. It appears that candidates may not have prepared sufficiently for these topics.

Additionally, candidates should thoroughly consider the context of the question and its requirements, grasp the related conceptual theories, and effectively apply them when responding to application-based questions. To ensure a comprehensive understanding of how to approach multiple-choice questions, candidates are encouraged to study the [Tips for Answering Multiple Choice Questions](#) available on the HKICPA website.